

Questions on “The Economic Price of Colleges’ Failures”

Background: A key component of economic growth is human capital, which is the knowledge, training, and experience of workers. Unfortunately, the term includes the word capital but it has little in common with that term other than more of both increase production by firms. Do recall human capital is part of what economists call “technology;” the other two are better capital (like an improved airliner, a better commercial oven, or a delivery truck that can carry more boxes) and better organized businesses (like UPS packing its trucks in the order that packages are delivered or Southwest Airlines loading passengers more quickly than their competitors).

In the second paragraph it mentions “standard deviation.” There are some details behind this, but suffice it to say that half of one standard deviation is a fairly small amount.

This article does not use the term “human capital” but it clearly is the focus as it looks at the skills of recent college graduates and what they learned in college.

I particularly like this article as it talks about a class concept (human capital) in terms of something that you’re heavily involved with – college.

Questions:

1. How was human capital measured? What sort of skills are evaluated?
2. Do all students see an increase in their skills during their time in college?
3. What activities increase the skills of college students?
4. How do skills acquired by college students matter after college? Do they matter only for finding a job?
5. Is this article complementary or critical of how colleges are run? Why?
6. According to the article, how important are personal contacts in finding a job after college?
7. Does the last sentence of the article fairly summarize the article?